cent since April 2003. This was mainly for the reason that monetary policy signalling was done through modulations in the reverse repo rate and the repo rate till May 3, 2011, and the policy repo rate under the revised operating procedure of monetary policy from May 3, 2011 onwards.

Moreover, under the revised operating procedure, MSF, instituted at 100 basis points above the policy repo rate, has been in operation, which more or less served the purpose of the Bank Rate. At present, the repo rate is 8.50 per cent, reserve repo 7.50 per cent and MSF 9.50 per cent. Repo rate is the rate at which banks borrow funds from the RBI and reverse repo rate is the rate at which banks park their funds with the RBI. Under the MSF, banks are permitted to avail themselves of funds from the RBI on overnight basis.

The Bank Rate acts as the **penal rate** charged on banks for shortfalls in meeting their reserve requirements (CRR and SLR)). The Bank Rate is also used by several financial institutions as a reference rate for indexation purposes.

BASE RATE

Base Rate is the interest rate below which Scheduled Commercial Banks (SCBs) will lend no loans to its customers - its means it is like Prime Lending Rate (PLR) and the Benchmark Prime lending Rate (BPLR) of the past and is basically a floor rate of interest. It replaced[16] the existing idea of BPLR on July 1, 2010.

The BPLR system (while the existing system was of PLR), introduced in 2003, fell short of its original objective of *bringing transparency* to lending rates. This was mainly because under this system, banks could lend below BPLR.This made a bargaining by the borrower with bank- ultimately one borrower getting cheaper loan than the other, and blurred the attempts of bringing in transparency in the lending business. For the same reason, it was also difficult to assess the transmission of *policy rates* (i.e. repo rate, reverse repo rate, bank rate) of the Reserve Bank to lending rates of banks. The Base Rate system is **aimed at** enhancing transparency in lending rates of banks and enabling better assessment of transmission of monetary policy. To look into this matter the RBI constituted a Working Group on